

stop the bleeding.

- Price moves up for about 2 months, but this range varies from 1 month to 3 months. That's the time to exit a swing trade. It likely won't be the ultimate high, but there seems to be a pattern to this, where price spikes 2 months after the breakout. In eight trades, five of them peaked in 2 months, two in 1 month and one in 3 months. If the stock looks to be peaking around the 2 months mark, then do your research and see if it's time to exit with a profit.

Sample Trade

Some people might consider Bob unlucky, but he has an adoring wife and two children. Employed as a blue-collar worker in a nearby auto plant, he is happy when he is working. Unfortunately, strikes by the union have taken their toll on his savings, and he has been looking for ways to supplement his income.

“Ever since I was a boy, I've been fascinated by Wall Street. I wanted to play the stock market, and when I saw the head-and-shoulders bottom pictured in [Figure 39.6](#), I took the plunge.” He bought the stock at \$16, the day after price pushed through the neckline.